

NextEra Energy, Inc.
 NEE NYSE

Buy	\$90.28 ▲ 1.04%	12M Price Target \$105.00	52-Week Range \$69.24 – \$98.75	Market Cap \$188.28B
-----	-----------------	------------------------------	------------------------------------	-------------------------

NEE: Dominion Deal + Data Center Demand = Steady Grind Higher

WHAT HAPPENED

- NEE popped ~1% on very light volume (1.4M shares vs the usual 8-10M) — that's a drift higher, not real buying. The tape is being carried by the whole utilities sector (+1.13%) and energy (+1.60%), so this is macro, not company-specific.
- The real story is the Dominion filing from yesterday — NEE is pitching a merger/partnership structure with \$2.25B in bill credits for customers. That's a smart political move: giving ratepayers cash sweeteners is how you get regulators to say yes to deals in this environment.

WHY IT MATTERS

The \$2.25B bill credit sweetener tells you exactly how NEE is playing the current political climate — under a Trump administration that's hostile to "green subsidies" but obsessed with lowering energy costs, NEE is repositioning itself as the cheap-power company, not the clean-power company. Same business, different pitch. The light-volume drift up while the whole utility sector rallies suggests NEE is being bought as a proxy for the AI/data center power theme — every hyperscaler needs baseload plus renewables, and NEE has both. Watch for this: if they can close a Dominion deal, they'd become the dominant East Coast utility just as Virginia's data center corridor explodes.

POLICY & POLITICAL WATCH

The big overhang is the One Big Beautiful Bill aftermath — the wind/solar tax credit phase-outs that were finalized last year are now hitting project economics, and NEE has been vocal about which projects still pencil out (most of theirs, because they locked in safe harbor). Watch the FERC transmission rulemaking this fall — if new rules speed up interconnection queues, NEE's 300GW+ backlog gets monetized faster. Also, Trump's executive order pushing "energy dominance" is quietly a tailwind for NEE's natural gas fleet (they own a lot more gas than people realize) even as solar faces headwinds.

IS IT EXPENSIVE?

At ~25x forward earnings, NEE trades at a premium to boring utilities like Duke or Southern (17-19x) — meaning investors pay \$25 for every \$1 of earnings vs \$18 for peers. That premium is defensible IF you believe the data center power demand story delivers 8-10% earnings growth (double the typical utility). At 71% of its 52-week range, it's not cheap but not stretched — the setup rewards patience.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$90.28
12M Price Target	\$105.00
Upside / (Downside)	+16.3%
Market Cap	\$188.28B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.00
Fwd P/E	24.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$95.00	\$92.00	\$86.00
6 Months	\$105.00	\$97.00	\$82.00
1 Year	\$115.00	\$105.00	\$78.00
2 Years	\$135.00	\$118.00	\$75.00
5 Years	\$180.00	\$145.00	\$85.00
10 Years	\$260.00	\$200.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5% this week) is ripping on the "energy dominance" narrative and oil strength; utilities are catching a bid as the AI-power trade broadens beyond just Nvidia and hyperscalers.

COOLING OFF: Nothing dramatic, but growth-heavy sectors (tech, discretionary) are absent from the leaderboard — feels like a defensive rotation day.

ROTATION WATCH: Money is quietly moving into "picks and shovels" for the AI buildout — power, cooling, transmission — which is why NEE and its utility peers are drifting higher without any fresh news.

RELATED PLAY: If you like the NEE thesis, look at GEV (GE Vernova) for the turbine/grid equipment angle, or VST (Vistra) which just showed up in Zacks coverage — they're the merchant power version of the same trade.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Merchant power play winning big from data center PPAs — no rate regulation ceiling, so pure upside from tight power markets.
- CEG (Constellation Energy): Nuclear premium — every hyperscaler wants 24/7 clean power, and CEG has it already built.

NEE CONTEXT: NEE is lagging the merchant power names (VST, CEG have been on fire) because it's half-regulated utility (slower growth, but safer). That's actually why it's the "sleep at night" way to play this theme — less explosive but far less risky if the AI capex cycle cools.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid setup with real catalysts, but the easy money in utilities has been made this year and options flow shows some caution near-term.

POSITION SIZE: 3-5% — big enough to matter, small enough that a Florida rate case surprise doesn't ruin your year.

ENTRY POINTS: I'd wait for a pullback to \$85-88 on any macro fear day or a soft earnings print (late July) — chasing at \$90 with put buyers active feels late.

TIME HORIZON: 12-24 months — the catalyst is Dominion deal progress + first big data center PPA announcements + FY2027 guidance raise.

WHEN TO BAIL: If they cut long-term EPS growth guidance below 6%, or if Florida commission hands them a bad rate case outcome, the premium multiple compresses fast — get out.

HEDGING: If you own it and want protection, own a little cash instead of chasing — utilities correlate with rates, so a surprise inflation print could knock 5-8% off quickly.